LOAN ADVISOR
GROUP
mortgage solutions

Self Employed Mortgage Guide



4 WAYS TO QUALIFY BEYOND TRADITIONAL TAX-RETURN INCOME

Your income looks different.
Your options can, too.

understand your options

HOW THESE LOANS WORK

Two ways to qualify using business activity rather than traditional tax-return income calculations.

01 BANK STATEMENT LOAN

FROM 10% DOWN | 660+ CREDIT*

BEST FOR	Business owners, freelancers and contractors with regular deposits, especially when tax deductions reduce reported net income.
HOW IT WORKS	A lender reviews typically 12 months of eligible personal or business deposits, removes transfers and non-income items, and applies an allowable business-expense factor to estimate monthly qualifying income.
WHAT TO PREPARE	12 consecutive bank statements; proof of business ownership and self-employment; an explanation of unusual deposits. Some lenders request a CPA letter or P&L.
OUR ADVICE	Keep business and personal transfers easy to identify. Ask us to estimate your usable income before choosing a home-price range.

02 1099-ONLY LOAN

FROM 10% DOWN | 660+ CREDIT*

BEST FOR	Independent contractors whose income is documented through 1099 forms, such as consultants, commission earners and gig professionals.
HOW IT WORKS	Some alternative-documentation programs use the most recent two years of qualifying 1099s and a lender-defined expense calculation instead of using tax-return net income. Current-year earnings may also need verification.
WHAT TO PREPARE	Two years of 1099s; current-year earnings evidence; proof of ongoing work or contracts; identification and down-payment funds.
OUR ADVICE	If you recently moved from W-2 to 1099 work, tell us when and what changed. Your previous experience may help us identify suitable options.

*These are illustrative program starting points from the original guide; actual minimums, pricing, required history and eligibility vary by lender.

choose your path

TWO MORE WAYS TO QUALIFY

The best option depends on how you earn, what documentation you have, and the funds you can use.

03 PROFIT & LOSS LOAN

FROM 20% DOWN | 660+ CREDIT*

BEST FOR	Established business owners who can document income and operating costs through a reliable profit-and-loss statement.
HOW IT WORKS	The lender evaluates an acceptable P&L showing revenue minus eligible expenses. Depending on the program, it may need to be prepared or reviewed by an independent tax professional and supported by recent bank activity.
WHAT TO PREPARE	A 12- or 24-month P&L as requested; proof of roughly two years in business; recent bank statements; business documentation.
OUR ADVICE	Do not assume gross sales equal qualifying income. Check whether your P&L must be third-party prepared before paying for one.

04 ASSET DEPLETION LOAN

FROM 20% DOWN | 680+ CREDIT*

BEST FOR	Borrowers with substantial eligible savings, investments or retirement balances, even when their monthly earned income is limited.
HOW IT WORKS	The lender may divide an eligible portion of documented assets over a specified number of months to create a qualifying monthly-income figure. Asset type, age, access and required reserves affect the calculation.
WHAT TO PREPARE	Recent statements for bank, brokerage and eligible retirement accounts; proof of ownership and source of any large deposits.
OUR ADVICE	Do not liquidate investments just to apply. First confirm which assets count, whether discounts apply, and how much must remain after closing.

ILLUSTRATION: $12,000 per month of eligible business deposits with a 50% expense factor could produce $6,000 in qualifying monthly income. The lender determines the actual factor.



your next chapter

LET'S FIND THE RIGHT FIT

There may be more than one way to qualify for your next home.

A complimentary 15-minute mortgage options review

SCHEDULE YOUR FREE REVIEW

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Educational information only; not a commitment to lend. Programs, rates, eligibility, fees and documentation requirements vary. All loans subject to underwriting and approval.

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